

59 percent—of the personal wealth in America. The \$1 trillion given to children and grandchildren thus represents a small portion (6.3 percent) of this wealth.

Much of this gift giving is tax-free. Typically, parents distribute their wealth so as to limit gift tax liabilities. Each parent can give each child and grandchild up to \$10,000 annually. Thus, a mother and father with three children and six grandchildren can give them \$180,000 taxfree each year. Also note that gifts of tuition and medical expenses are typically not included in computations of gift tax liability.